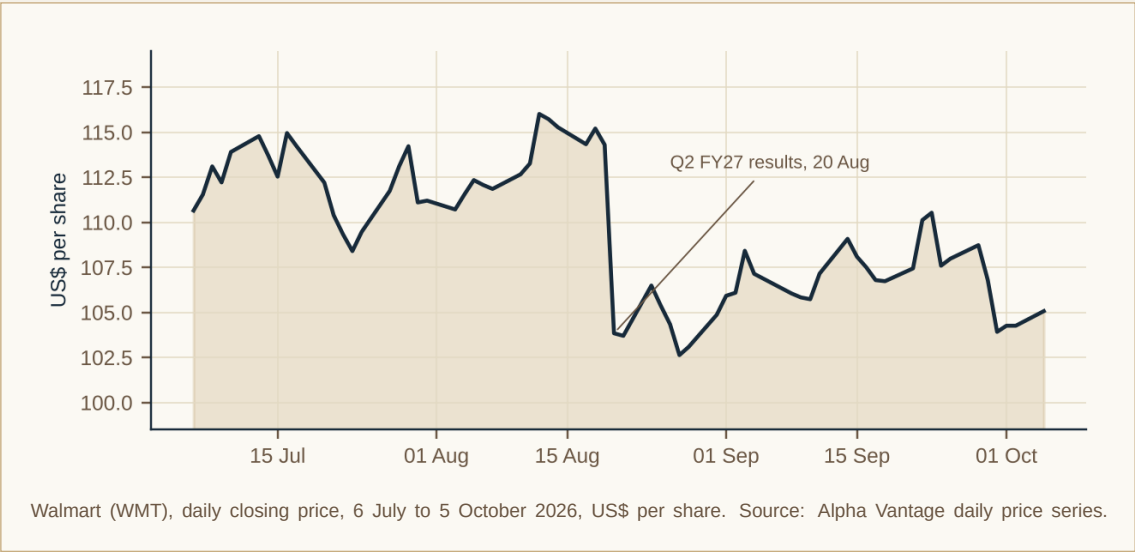


# Walmart Inc.

WMT | New York Stock Exchange

US\$ 105.07 per share

Closing price, Monday 5 October 2026



# Executive Summary

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Walmart converts a 4 percent operating margin on US\$713bn of annual revenue into US\$30bn of operating income, funds record capital spending out of US\$41.6bn of operating cash flow, and trades at 38 times trailing earnings. The business is of high quality; the open question is price. SOURCED REASONED

## Business

Walmart operates 10,955 stores and clubs in 19 countries through three segments: Walmart U.S. (US\$483.0bn of fiscal 2026 net sales, 68 percent), Walmart International (US\$130.4bn, 19 percent) and Sam's Club U.S. (US\$93.0bn, 13 percent). Revenue comes mainly from grocery, general merchandise and health products sold at everyday low prices, with a growing layer of higher-margin income from advertising, memberships and marketplace services. SOURCED

## Financial Condition

Fiscal 2026 (year to 31 January 2026) revenue was US\$713.2bn (up 4.7 percent), operating income US\$29.8bn (4.2 percent margin), net income US\$21.9bn, operating cash flow US\$41.6bn and free cash flow US\$14.9bn after US\$26.6bn of capital expenditure. Borrowings plus leases less cash were US\$63.6bn at 31 July 2026 (about 1.4 times EBITDA). In the first half of fiscal 2027 revenue grew 6.6 percent and operating income 17.0 percent. SOURCED CALCULATED

## Market Position

Walmart is the largest US retailer by sales, ahead of Costco, Amazon, Kroger and Target in food and mass merchandise. Its structural advantage is purchasing scale combined with a physical network that serves approximately 280 million customers and doubles as a delivery grid. Its structural weakness is thin margin: a 1 point change in gross margin moves operating income by roughly a quarter. SOURCED REASONED

## Valuation

At US\$105.07 the market capitalization is US\$833.6bn and enterprise value (including leases) US\$897.2bn. Trailing P/E is 38.1 times, forward P/E 35.0 times, EV/EBITDA 20.4 times and price to free cash flow 61.7 times; the shares trade at roughly 21 percent below their 13 February 2026 closing peak. SOURCED

## VALUATION SNAPSHOT AT US\$105.07 (CLOSE OF 5 OCTOBER 2026)

| Metric                            | Value       | Basis                                              |
|-----------------------------------|-------------|----------------------------------------------------|
| Market capitalization             | US\$833.6bn | Sourced, StockAnalysis                             |
| Enterprise value                  | US\$897.2bn | Sourced; market cap plus net debt including leases |
| P/E, trailing                     | 38.1x       | Sourced, StockAnalysis                             |
| P/E, forward                      | 35.0x       | Sourced, consensus-based                           |
| P/E on FY27 adjusted EPS guidance | 37.1x       | Calculated; US\$2.835 midpoint                     |
| EV/EBITDA, trailing               | 20.4x       | Sourced, StockAnalysis                             |
| P/FCF, trailing                   | 61.7x       | Sourced; confirmed by calculation                  |
| Dividend yield                    | 0.94%       | Sourced; US\$0.94 fiscal 2026 dividend             |

Sources: StockAnalysis statistics page (6 October 2026); Walmart Q2 FY27 earnings release (20 August 2026). Fiscal year ends 31 January.

## Investment Framework

|                                    |                                                                                                                                                                                                                                         |
|------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>WHAT IS ATTRACTIVE</b>          | Cash-generative, defensive demand; eCommerce up 23 percent, advertising up 38 percent and membership fees up 17 percent in Q2 FY27, all margin-accretive; operating income growing about 2.5 times faster than sales in the first half. |
| <b>WHAT IS CONCERNING</b>          | A 38 times earnings multiple on a 4 percent margin retailer; free cash flow of US\$13.5bn trailing is consumed by capex growth; a 9.1 percent one-day share price fall followed the August results despite a guidance raise.            |
| <b>WHAT MUST GO RIGHT</b>          | Mix shift toward advertising, membership and marketplace must lift the operating margin from 4.2 percent toward 5 percent or more while capex falls from 4.0 percent of sales.                                                          |
| <b>WHAT COULD BREAK THE THESIS</b> | Price competition from Amazon and Costco, tariff-driven cost inflation, a consumer slowdown, or a rise in the discount rate that compresses an already elevated multiple.                                                               |
| <b>PRICED IN</b>                   | A reverse DCF shows the share price requires either a discount rate near 5.5 percent or an operating margin above 10 percent; the base-case DCF value is US\$41 per share.                                                              |

## Investment Profile

## ASSESSMENT BY DIMENSION

| Dimension                    | Assessment                                                                                                             |
|------------------------------|------------------------------------------------------------------------------------------------------------------------|
| Business quality             | Very good: scale purchasing, 2.1 million associates, diversified across food, general merchandise, health and services |
| Financial quality            | Good: operating cash flow 1.9 times net income; low margin leaves little room for error                                |
| Competitive position         | Strong moat in US grocery and mass retail; moderate in eCommerce                                                       |
| Growth profile               | Moderate: 5.6 percent revenue CAGR over four years, 13.9 percent EPS CAGR                                              |
| Balance-sheet risk           | Low to moderate: net debt including leases about 1.4 times EBITDA                                                      |
| Valuation                    | Demanding: premium to history and to every peer in this report except Costco                                           |
| Market and technical profile | Weak trend: below 50-day and 200-day averages, momentum negative                                                       |

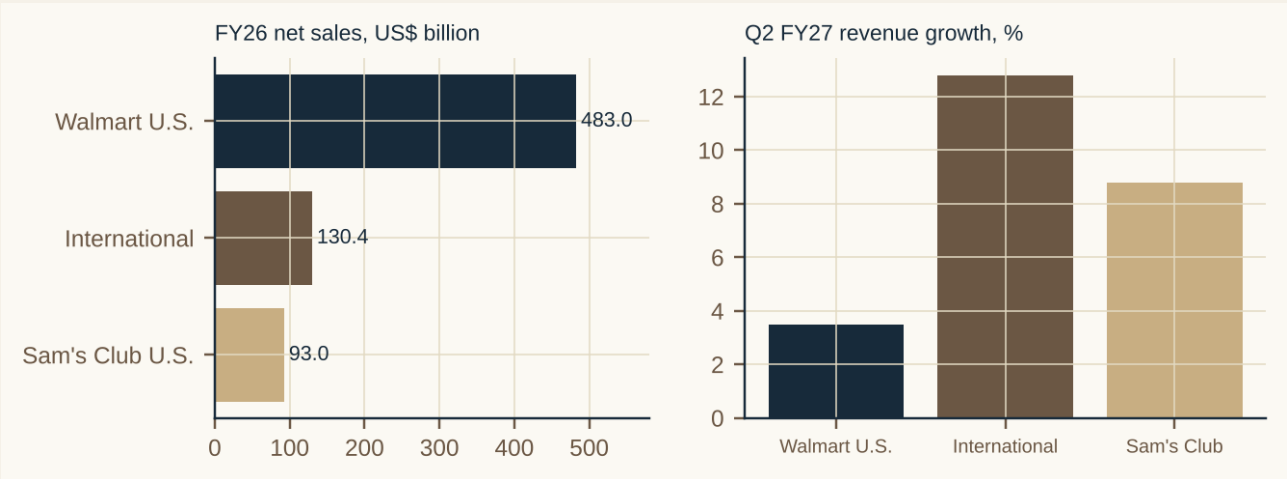
# A. About the Business

## A1. Business Environment

Walmart operates in mass-market retail: the sale of food, consumables and general merchandise to households through stores, clubs and digital channels. The value chain runs from consumer-goods manufacturers and importers through retailer purchasing and logistics to the last mile, either the customer’s own trip or a delivery. Most economic value is captured by the participant with the lowest cost to serve and the most frequent customer contact; in grocery that is a high-volume operator, and in digital that is the owner of the customer relationship and its advertising audience. REASONED

The industry has a very large revenue pool and a small profit pool. Walmart’s own gross margin is 24.9 percent and its operating margin 4.2 percent; the principal cost pools are cost of goods (about 75 percent of revenue) and operating, selling, general and administrative expenses (about 21 percent). Capital intensity is rising as retailers invest in automation, supply-chain technology and pickup and delivery: Walmart’s capex went from US\$13.1bn in fiscal 2022 to US\$26.6bn in fiscal 2026. Demand is defensive (food and household essentials) but not immune to cycles in general merchandise. The sector is regulated mainly through food, pharmacy, labor and trade policy. SOURCED CALCULATED

### Walmart revenue exposure by segment



Source: Walmart Form 10-K for fiscal 2026 (net sales); Walmart Q2 FY27 earnings release (growth, 13 weeks to 31 July 2026). Units: US\$ billion and percent.

### INDUSTRY STAGE

Mature and consolidating in physical retail, with structural transformation from digital commerce and retail media. Physical grocery growth tracks population and inflation; value creation now depends on mix shift toward advertising, membership and fulfillment services. REASONED

## A2. What Does the Company Do?

Think of Walmart as a purchasing and logistics machine with three storefronts. Walmart U.S. runs 4,611 supercenters, neighborhood markets and related formats in the fifty states, Washington D.C. and Puerto Rico. Walmart International runs 5,743 stores in 18 countries (Mexico, Canada, China, India through Flipkart and PhonePe, and African operations). Sam’s Club U.S. runs 601 membership warehouse clubs, selling on a US\$50 annual basic fee or US\$110 Plus membership. Walmart sells groceries, health and wellness, consumer electronics, general merchandise and financial services, and offers pickup or delivery from more than 8,400 locations. SOURCED

Revenue is recurring in practice (weekly grocery trips) with a growing contractual layer: membership fees, advertising and marketplace fees. Pricing follows everyday low prices backed by cost leadership: Walmart funds price cuts with scale rebates and private label. Major costs are merchandise, labor (about 2.1 million associates), occupancy and technology. Capital is deployed into stores, distribution automation, data centers and eCommerce capacity. SOURCED REASONED

### How one dollar of revenue is used

Using fiscal 2026 data, each US\$1.00 of revenue breaks down approximately as follows. CALCULATED

|                                                                                         |                                                                                                          |                                                                                                                    |
|-----------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|
| <b>1. CUSTOMER</b><br>Approximately 280 million customers across stores, clubs and apps | <b>2. PRODUCT AND SERVICE</b><br>Grocery, general merchandise, health, services, advertising, membership | <b>3. REVENUE</b><br>US\$713.2bn: Walmart U.S. 68 percent, International 19 percent, Sam's 13 percent of net sales |
| <b>4. COSTS</b><br>Cost of sales 75.1 cents; operating expenses about 20.7 cents        | <b>5. OPERATING PROFIT</b><br>4.2 cents per dollar (US\$29.8bn)                                          | <b>6. CASH FLOW</b><br>Operating cash flow 5.8 cents; free cash flow 2.1 cents after 3.7 cents of capex            |
|                                                                                         |                                                                                                          | <b>7. CAPITAL ALLOCATION</b><br>Capex US\$26.6bn, dividends US\$7.5bn, buybacks US\$8.1bn                          |

The economically most important parts are volume (gross profit dollars on groceries and consumables), operating efficiency (expense per square foot and per order) and the newer high-margin lines. One point of revenue in operating expenses is worth about 24 percent of operating income. CALCULATED

## A3. Business and Relationship Network

### ECOSYSTEM MAP

| Node                    | Relationship                                                                       | Why it matters economically                                                                      |
|-------------------------|------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------|
| Walmart U.S.            | 4,611 stores; US\$483.0bn net sales                                                | Profit engine; sets price perception for the whole group                                         |
| Walmart International   | 5,743 stores in 18 countries; Flipkart (India), PhonePe, Mexico, Canada, China     | Growth outlet; International sales up 12.8 percent in Q2 FY27 (7.9 percent in constant currency) |
| Sam's Club U.S.         | 601 clubs; US\$50 and US\$110 memberships                                          | Fee-based, recurring income; comparable sales up 4.4 percent excluding fuel                      |
| Suppliers               | Consumer-goods manufacturers, importers, private-label producers                   | Scale rebates fund low prices; import exposure creates tariff sensitivity                        |
| Customers               | Approximately 280 million customers; broad income mix                              | Frequency drives advertising and membership value                                                |
| Technology and services | Walmart Connect advertising, marketplace, fulfillment services, financial services | Higher-margin lines lifting group operating margin                                               |
| Shareholders            | Founding family retains a controlling stake (proxy disclosure)                     | Long-term governance stability; low takeover risk. Percentage not retrieved                      |
| Subsidiaries and brands | Walmart, Sam's Club, Flipkart, PhonePe, Walmart de Mexico, Walmart Canada          | Segment structure above                                                                          |

Sources: Walmart Form 10-K for fiscal 2026 (store counts, segments, geography); Q2 FY27 earnings release (growth). Shareholder entry is Reasoned.

## A4. Competition

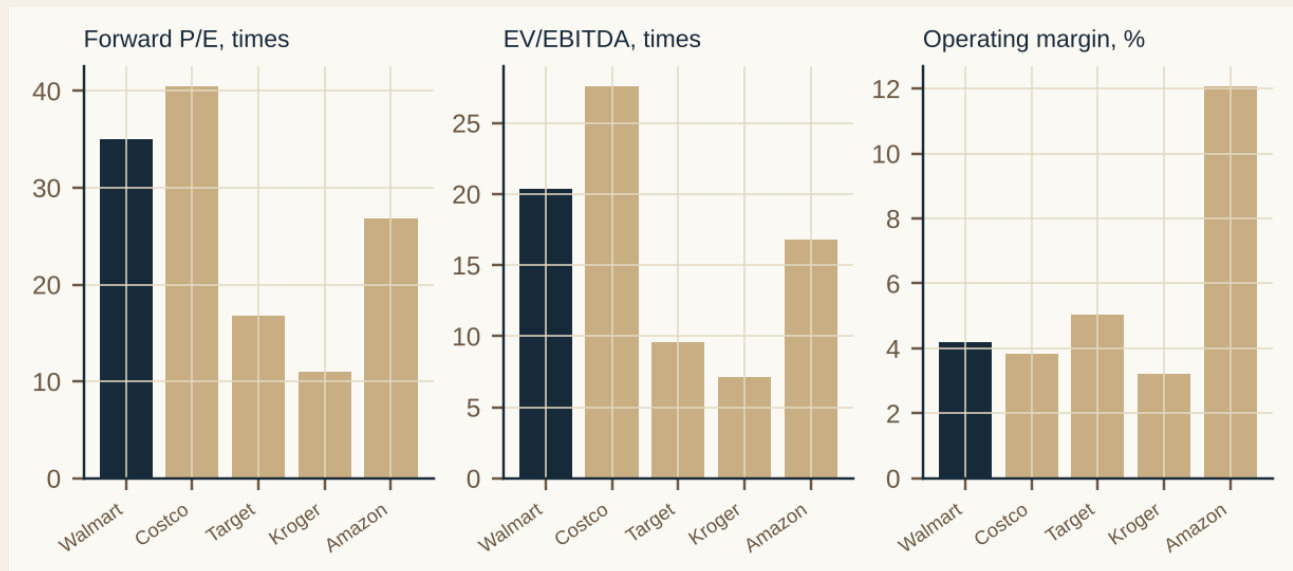
Walmart competes for customer spending, supplier terms, labor and delivery capacity. Competitors are selected on overlap in groceries and consumables, membership warehousing and digital commerce, not on classification.

COMPETITIVE COMPARISON (VALUATION DATA AT 6 OCTOBER 2026)

| Company | Price, US\$ | Fwd P/E | EV/EBITDA | Op. margin | Beta |
|---------|-------------|---------|-----------|------------|------|
| Walmart | 105.07      | 35.0x   | 20.4x     | 4.2%       | 0.58 |
| Costco  | 923.52      | 40.5x   | 27.6x     | 3.9%       | 0.87 |
| Target  | 152.58      | 16.8x   | 9.6x      | 5.0%       | 0.98 |
| Kroger  | 58.72       | 11.0x   | 7.1x      | 3.2%       | 0.41 |
| Amazon  | 251.40      | 26.8x   | 16.8x     | 12.1%      | 1.46 |

Source: StockAnalysis statistics pages for each company, 6 October 2026. Walmart operating margin is fiscal 2026 (calculated); peer margins are trailing as reported by the provider.

### Peer valuation and profitability



Source: StockAnalysis, 6 October 2026. Units: times and percent of revenue.

### COMPETITOR PROFILES

| Peer                                  | Overlap and model                                                                           | Relative position                                                                                   |
|---------------------------------------|---------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
| Costco                                | Membership warehouse; direct rival of Sam's Club; 12.8% gross margin, 3.9% operating margin | Higher-priced equity at 40.5x forward earnings with 39% ROIC; stronger loyalty economics than Sam's |
| Amazon                                | Online marketplace, logistics and retail media; overlap in eCommerce and advertising        | Larger digital scale and margin; Walmart has the store network and grocery frequency                |
| Target                                | Mass merchandise and some grocery; 28.4% gross margin                                       | Cheaper valuation, weaker traffic profile; narrower geographic scope                                |
| Kroger                                | US supermarket operator; 3.2% operating margin                                              | Closest grocery overlap; far less eCommerce and no international arm                                |
| Dollar chains, Aldi, regional grocers | Price-led formats in food and consumables                                                   | Local pricing pressure; limited scale and digital offerings (Reasoned, not quantified)              |

## A5. Competitive Differences

**Advantages.** Scale is the dominant one: US\$713bn of revenue spreads fixed technology and distribution costs over more units than any US competitor and supports supplier terms others cannot match. Distribution density (4,611 U.S. stores within reach of most households) makes pickup and delivery cheaper per order. Brand price perception, a growing marketplace and advertising platform, and the Sam's Club membership base add structural layers. Fiscal 2026 gross margin rose to 24.9 percent from 24.4 percent in fiscal 2024, evidence that mix is improving rather than eroding. SOURCED REASONED

**Disadvantages.** Net margin is 3.1 percent, so small price or cost shocks matter; the company depends on imported goods and low-income consumers; its labor-intensive model faces wage pressure; and capex has doubled in four years. Switching costs are low for food shoppers. Temporary advantages: the current pace of advertising growth; structural: purchasing scale, network density and brand.

**Moat rating:** Strong. Walmart's returns on invested capital have held between 12 and 15 percent for five years (13.3 percent latest) on a low-margin model, which indicates durable cost advantage rather than pricing power. SOURCED

## A6. Industry Trend

The industry is mature and consolidating in physical retail, with structural change driven by eCommerce, retail media and automation. Walmart's global eCommerce grew 23 percent and advertising 38 percent in Q2 FY27 showing shift in the profit mix rather than only the sales mix. Cyclical elements: inflation and consumer trade-down benefit value retailers in downturns, while strong employment supports general merchandise. Temporary: foreign exchange added about 0.8 points to Q2 revenue growth (5.9 percent reported against 5.1 percent constant currency). Structural trend reversal could arise from aggressive pricing by Amazon and Costco, regulatory action on retail media or labor, or a shift of grocery spending to smaller discount formats.

SOURCED REASONED

## A7. Management

EXECUTIVE TEAM (AS FILED IN THE FISCAL 2026 FORM 10-K)

| Name                 | Position                                                      | Notes                                                                              |
|----------------------|---------------------------------------------------------------|------------------------------------------------------------------------------------|
| John Furner          | President and Chief Executive Officer (from February 2026)    | Long-time Walmart executive; previously led Walmart U.S. and Sam's Club (Reasoned) |
| John David Rainey    | Executive Vice President and CFO (since June 2022)            | Joined from outside retail (Reasoned); responsible for capital allocation          |
| David Guggina        | Walmart U.S. President and CEO (from February 2026)           | Runs 68 percent of net sales                                                       |
| Christopher Nicholas | Walmart International President and CEO (from February 2026)  | Oversees Flipkart, Mexico and other markets                                        |
| Latriece Watkins     | Sam's Club U.S. President and CEO (from February 2026)        | Membership model, 4.4 percent comparable sales growth                              |
| Suresh Kumar         | Global Chief Technology Officer and Chief Development Officer | Technology and AI execution                                                        |

Sources: Walmart Form 10-K for fiscal 2026; StockAnalysis company page. Background entries marked Reasoned are not taken from the filing.

The February 2026 succession from C. Douglas McMillon to John Furner was an internal handover, with a new leadership layer in all three segments the same month. Capital allocation has been balanced: fiscal 2026 capex US\$26.6bn (up 12 percent), dividends US\$7.5bn (US\$0.94 per share, up 13 percent), buybacks US\$8.1bn (up 80 percent), and net borrowing US\$4.9bn, so shareholder returns of US\$15.6bn slightly exceeded free cash flow of US\$14.9bn. Share repurchases of US\$5.1bn (42.3

million shares) in the first half of fiscal 2027 imply an average price of about US\$120. Management raised its fiscal 2027 outlook in August (net sales up 4 to 5 percent constant currency, adjusted EPS US\$2.80 to US\$2.87), after which the stock fell 9.1 percent: the market judged the EPS range too low relative to a premium multiple. Insider ownership percentage is not retrieved; the founding family's controlling stake aligns the board with long-term shareholders but limits activist discipline.

SOURCED CALCULATED REASONED

## B. Evaluation

### B1. Financial and Operating Metrics

FINANCIAL SUMMARY, FISCAL YEARS ENDING 31 JANUARY, US\$ MILLION UNLESS STATED

| Metric                   | FY22    | FY23    | FY24    | FY25    | FY26    |
|--------------------------|---------|---------|---------|---------|---------|
| Revenue                  | 572,754 | 611,289 | 648,125 | 680,985 | 713,163 |
| Revenue growth           | N/A     | 6.7%    | 6.0%    | 5.1%    | 4.7%    |
| Gross profit             | 143,754 | 147,568 | 157,983 | 169,232 | 177,768 |
| Operating income         | 25,942  | 24,528  | 27,012  | 29,348  | 29,825  |
| Net income               | 13,673  | 11,680  | 15,511  | 19,436  | 21,893  |
| Diluted EPS, US\$        | 1.62    | 1.42    | 1.91    | 2.41    | 2.73    |
| Operating cash flow      | 24,181  | 28,841  | 35,726  | 36,443  | 41,565  |
| Capital expenditure      | 13,106  | 16,857  | 20,606  | 23,783  | 26,642  |
| Free cash flow           | 11,075  | 11,984  | 15,120  | 12,660  | 14,923  |
| Dividend per share, US\$ | 0.733   | 0.747   | 0.760   | 0.830   | 0.940   |

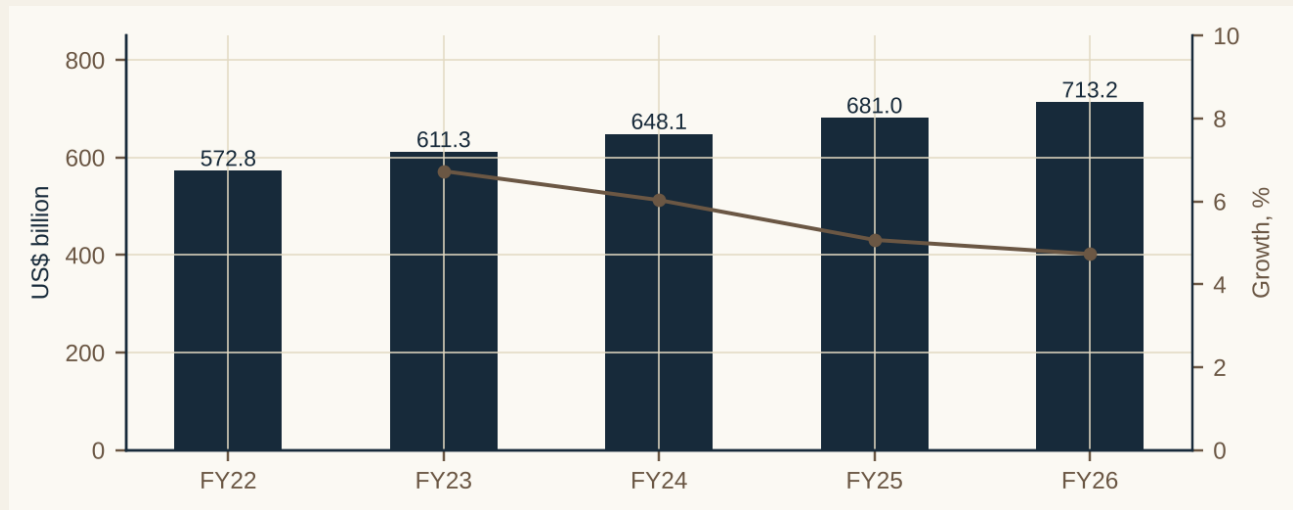
Source: StockAnalysis annual financial statements, reported by Walmart under US GAAP and split adjusted (3 for 1 in February 2024). FY22 revenue growth is N/A because the fiscal 2021 base was not retrieved.

CALCULATED RATIOS

| Ratio                               | FY26         | Interpretation                                      |
|-------------------------------------|--------------|-----------------------------------------------------|
| Gross margin                        | 24.9%        | Up from 24.4% in FY24; mix shift                    |
| Operating margin (EBIT margin)      | 4.2%         | Stable 4.0 to 4.5% range for five years             |
| Net margin                          | 3.1%         | Lifted by non-operating gains                       |
| Return on equity                    | 21.9%        | Provider; ROE on common equity                      |
| Return on invested capital          | 14.3%        | Provider; above any plausible WACC                  |
| Return on assets                    | 8.0%         | Net income over average assets                      |
| Revenue CAGR, FY22 to FY26          | 5.6%         | Calculated                                          |
| EPS CAGR, FY22 to FY26              | 13.9%        | Faster than EBIT CAGR of 3.5%                       |
| FCF CAGR, FY22 to FY26              | 7.7%         | Capex growth absorbs OCF growth                     |
| Asset turnover                      | 2.6x         | Revenue over average assets                         |
| Inventory turnover                  | 9.3x         | Cost of sales over average inventory (39 days)      |
| Receivables turnover                | 67.5x        | Collection in about 5 days                          |
| Cash conversion cycle               | about 2 days | 39 inventory plus 6 receivable less 43 payable days |
| Operating cash flow to net income   | 1.90x        | Cash earnings above accounting earnings             |
| Capex to revenue                    | 3.7%         | Up from 2.3% in FY22                                |
| FCF margin                          | 2.1%         | Low but positive                                    |
| Net debt including leases to EBITDA | 1.4x         | EBITDA about US\$44bn trailing (provider-implied)   |
| Interest coverage                   | N/A          | Interest expense Not Retrieved                      |

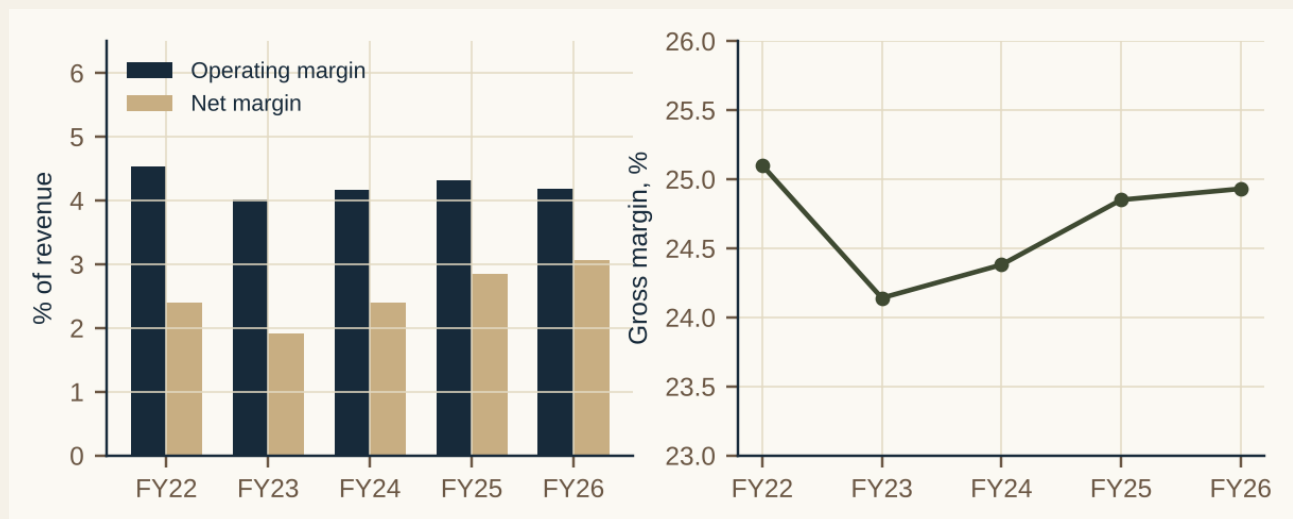
Sources: StockAnalysis (ratios page, provider ROE and ROIC); calculations by the analyst from reported statements. Ratios that need depreciation or interest data are marked N/A or Not Retrieved.

### Revenue and annual growth



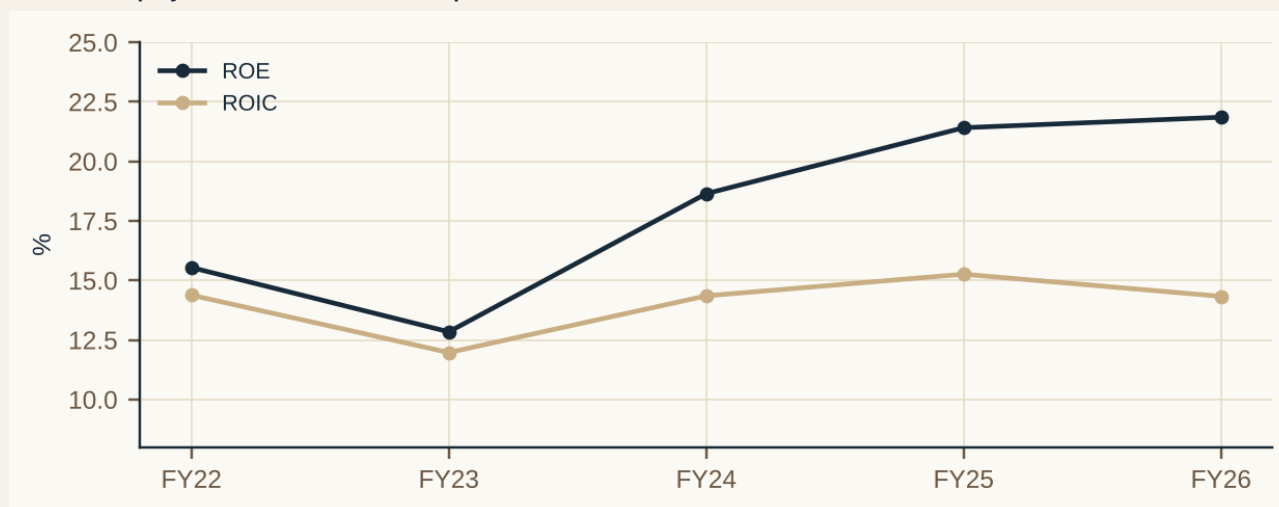
Source: StockAnalysis financial statements, FY22 to FY26. Units: US\$ billion and percent.

### Operating margin, net margin and gross margin



Source: StockAnalysis, FY22 to FY26. Units: percent of revenue.

## Return on equity and return on invested capital



Source: StockAnalysis ratios page, FY22 to FY26. Units: percent.

Interpretation. EPS has compounded at 13.9 percent while operating income compounded at 3.5 percent: the gap comes from share count reduction and non-operating items (gains and losses on equity investments), so EPS growth is not the same as business growth. Return on equity of 22 percent is partly leverage; ROIC of 14 percent is the cleaner measure of economic return, and it has not expanded despite doubled capex, a reason to watch incremental returns. CALCULATED REASONED

## B2. Risks

## RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

| Rank | Risk                                              | Probability   | Impact        | Description                                                                                        |
|------|---------------------------------------------------|---------------|---------------|----------------------------------------------------------------------------------------------------|
| 1    | Valuation compression                             | High          | High          | 38x trailing earnings with a 4 percent margin; every 5 turns of multiple is about US\$14 per share |
| 2    | Margin squeeze from tariffs, pricing and wages    | Medium        | High          | A 50 basis point operating margin decline removes about US\$3.6bn of operating income              |
| 3    | Competitive pricing (Amazon, Costco, discounters) | Medium        | High          | Share loss or forced price investment                                                              |
| 4    | Capex returns                                     | Medium        | Medium        | Capex 3.7 percent of sales and rising; ROIC flat at 14 percent                                     |
| 5    | Consumer slowdown                                 | Medium        | Medium        | Defensive core, but general merchandise is cyclical                                                |
| 6    | Interest rates and refinancing                    | Medium        | Medium        | 10-year Treasury yield 5.28 percent; short-term debt rose to US\$10.5bn                            |
| 7    | Currency and international                        | Medium        | Low to medium | International 19 percent of sales; FX added 0.8 points to Q2 growth                                |
| 8    | Regulatory and legal                              | Medium        | Medium        | Labor, pharmacy, antitrust, retail media oversight                                                 |
| 9    | Cybersecurity and technology                      | Low to medium | Medium        | Large digital estate and payment systems                                                           |

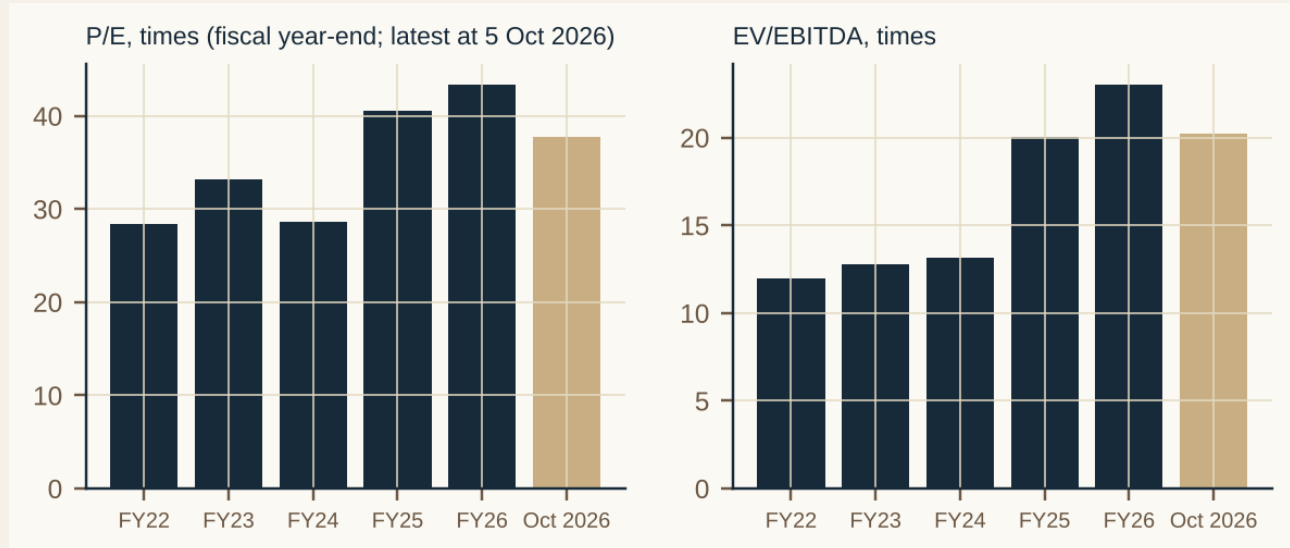
Probability and impact assessments are Reasoned. Debt and Treasury data are Sourced (Walmart balance sheet at 31 July 2026; Alpha Vantage Treasury series, 2 October 2026).

The three risks most capable of permanently impairing shareholder value are: valuation compression combined with a rate shock; sustained margin erosion from tariffs or a price war; and a decline in returns on the capex programme. REASONED

## B3. Valuation

**Multiples.** At US\$105.07: trailing P/E 38.1x, forward P/E 35.0x, EV/EBITDA 20.4x, EV/EBIT about 27.8x (calculated on EV US\$897.2bn and trailing EBIT of about US\$32.3bn), P/S 1.12x, P/FCF 61.7x, dividend yield 0.94 percent. PEG is not meaningful because forward EPS growth is single-digit to low-teens. SOURCED CALCULATED

### Valuation multiple history



Source: StockAnalysis ratios page; fiscal year-end multiples and latest at 5 October 2026. Units: times.

**Historical context.** P/E has moved from 28 to 33 times in fiscal 2022 to 2024 to 43 times at the end of fiscal 2026, and EV/EBITDA from 12 to 13 times to 23 times. The current multiples are below the fiscal 2026 peak but about 1.3 times (P/E) and 1.6 times (EV/EBITDA) the fiscal 2022 to 2024 average. Peer valuation: Walmart trades at a premium to Target (16.8x forward), Kroger (11.0x) and Amazon (26.8x) and at a discount to Costco (40.5x). Costco's premium rests on a 39 percent ROIC and a membership annuity, features Sam's Club only partly replicates. SOURCED

**Cash-flow valuation:** see section C5. A ten-year DCF with a base case 8.5 percent WACC yields about US\$41 per share (range US\$21 to US\$70). What the price embeds: a reverse DCF shows that holding the base-case growth path, the price requires a discount rate near 5.5 percent, or an operating margin above 10 percent (more than double the current level). Revenue growth of 5 to 6 percent for a decade, EPS growth in the low teens, free cash flow growth above 15 percent and a terminal growth of 3 percent are consistent with an assessment of Extremely Optimistic expectations at a 5.28 percent risk-free rate. Note that the DCF is highly sensitive to the discount rate: at a 6.5 percent WACC the base case gives US\$75. CALCULATED REASONED

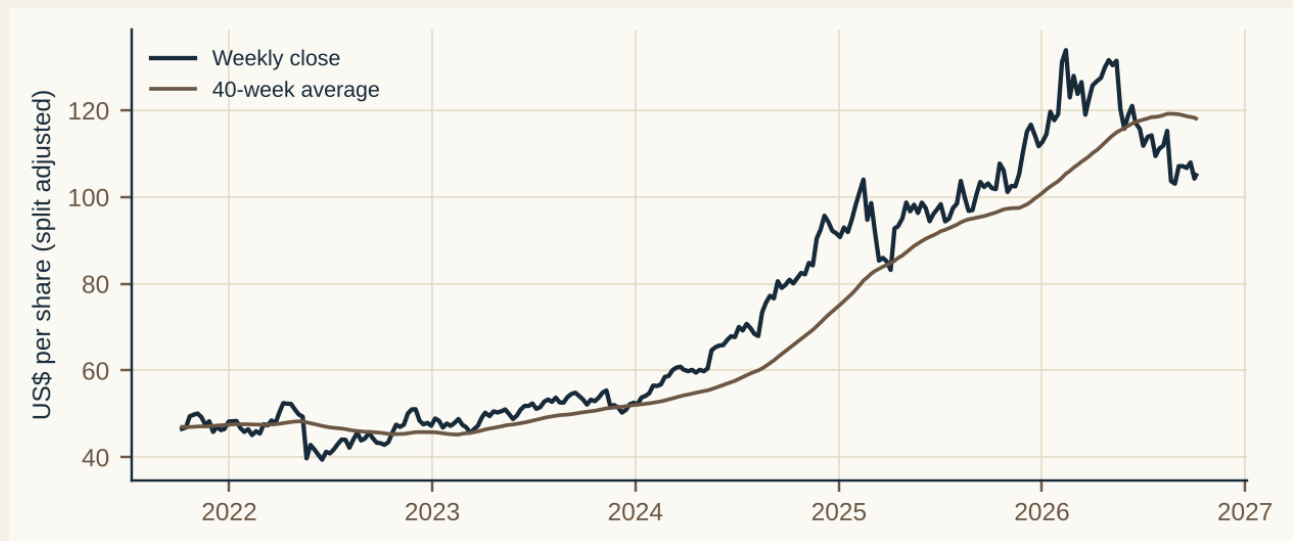
## B4. Capital Market and Stock Analysis

PRICE PERFORMANCE TO 5 OCTOBER 2026 (PRICE RETURN, EXCLUDING DIVIDENDS)

| Period       | Walmart | S&P 500 proxy (SPY) | Relative  |
|--------------|---------|---------------------|-----------|
| 1 day        | 0.8%    | n/a                 | n/a       |
| 1 week       | -3.4%   | n/a                 | n/a       |
| 1 month      | -1.9%   | n/a                 | n/a       |
| 3 months     | -5.0%   | n/a                 | n/a       |
| 6 months     | -16.5%  | 18.1%               | -34.6 pts |
| Year to date | -6.0%   | 12.2%               | -18.2 pts |
| 1 year       | 2.9%    | 15.8%               | -12.9 pts |
| 3 years      | 101.5%  | 80.4%               | 21.1 pts  |
| 5 years      | 130.0%  | 78.4%               | 51.6 pts  |

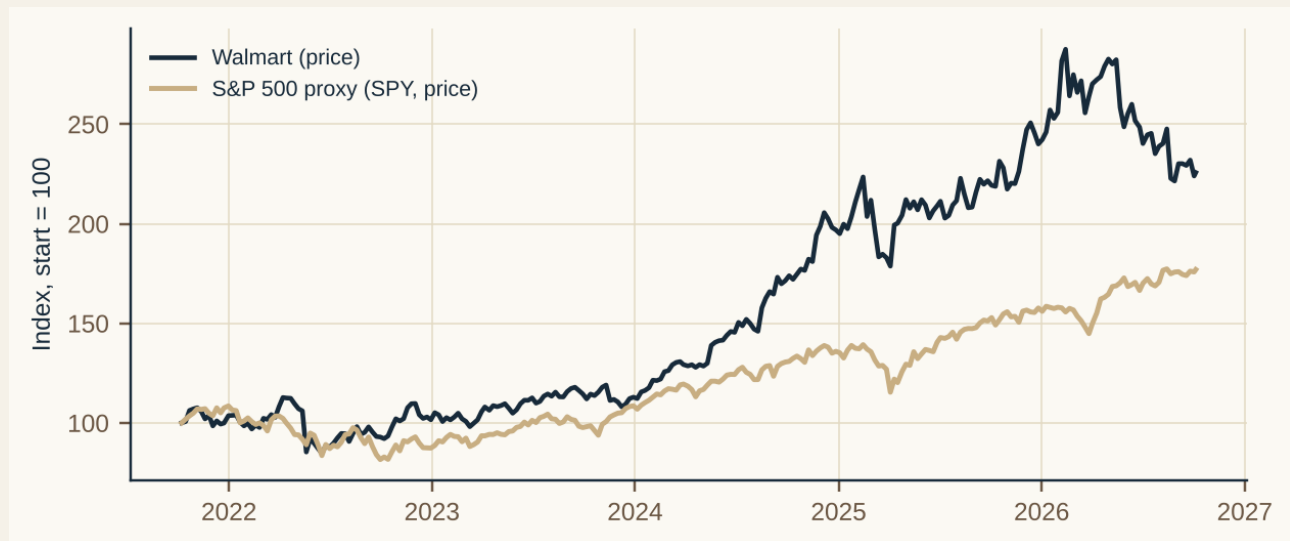
Source: Alpha Vantage daily and weekly price series, split adjusted for the February 2024 3 for 1 split; weekly closes used for periods beyond three months. SPY (SPDR S&P 500 ETF) is the benchmark proxy. Calculated.

### Walmart weekly closing price with 40-week average



Source: Alpha Vantage weekly series, October 2021 to October 2026. Units: US\$ per share, split adjusted.

## Price performance versus benchmark

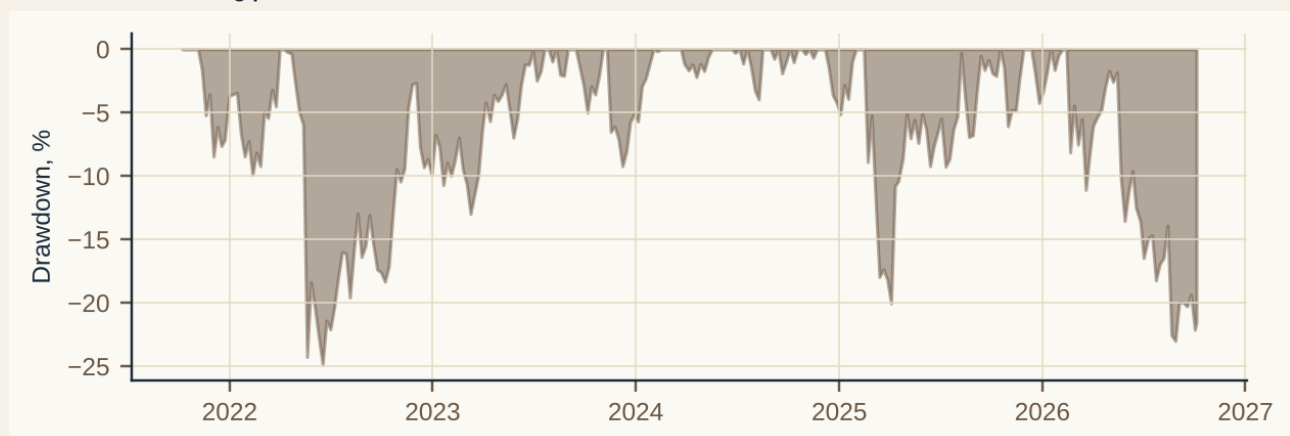


Source: Alpha Vantage weekly series (WMT and SPY), rebased to 100 on 6 October 2021, price only.

## VOLATILITY AND RISK

| Measure                                           | Value                   | Basis                                          |
|---------------------------------------------------|-------------------------|------------------------------------------------|
| Annualized volatility, 1 year                     | 26.1%                   | Calculated, weekly returns                     |
| Annualized volatility, 3 years                    | 23.0%                   | Calculated, weekly returns                     |
| Annualized volatility, 5 years                    | 23.1%                   | Calculated, weekly returns                     |
| Downside volatility, 3 years                      | 17.2%                   | Calculated, negative weeks                     |
| Beta versus SPY, 3 years                          | 0.54                    | Calculated, weekly; provider 5-year beta 0.58  |
| Correlation with SPY, 3 years                     | 0.33                    | Calculated, weekly                             |
| Maximum drawdown, 5 years                         | -24.8%                  | Calculated, weekly closes, trough 17 June 2022 |
| Current drawdown from 13 February 2026 close high | -21.5%                  | Calculated; peak US\$133.89                    |
| 52-week range (weekly)                            | US\$98.88 to US\$135.16 | Calculated                                     |

## Drawdown from rolling peak



Source: Alpha Vantage weekly series, October 2021 to October 2026. Units: percent below prior high.

Market behavior. The stock doubled in three years on multiple expansion, peaked in February 2026 near US\$134, then fell 21 percent as the earnings multiple compressed and the August guidance disappointed: on 20 August 2026 volume was 83.6 million shares (3.8 times the 20-day average) and the price fell 9.1 percent to US\$103.84. Support sits near US\$102.6 to

US\$103.1 (late August closes) and US\$98.9 (52-week weekly low); resistance is the US\$114 to US\$116 gap left by the results and US\$118 to US\$121 from June. CALCULATED

Technical indicators. Close US\$105.07 is below the 20-day (US\$107.0), 50-day (US\$108.8) and 200-day (US\$118.3) averages. RSI is 43, MACD is below its signal line (-0.82 against -0.53), and the 14-day average true range is US\$2.13 (2.0 percent of price). Reading: a downtrend in a lower-volatility regime, neither oversold nor showing a base. Technicals describe sentiment and flows; they do not alter the fundamental valuation analysis, which shows a valuation premium as the main exposure.

CALCULATED REASONED

## C. Financial Statements

All figures are reported by Walmart under US GAAP for fiscal years ending 31 January, unless marked derived or estimated.

**SOURCED**

### C1. Income Statement

Revenue rose from US\$572.8bn in fiscal 2022 to US\$713.2bn in fiscal 2026 (5.6 percent CAGR), with growth easing from 6.7 percent to 4.7 percent as inflation-led price gains faded. Growth in fiscal 2026 came from volume in Walmart U.S. and Sam's Club, double-digit eCommerce, advertising and membership income, and currency in International; fiscal 2027 first-half revenue growth of 6.6 percent includes about 1.1 points of currency. Gross profit grew 23.7 percent over four years against revenue growth of 24.5 percent, so gross margin is stable around 24 to 25 percent, with a recent rise (24.4 percent in fiscal 2024 to 24.9 percent in fiscal 2026) tied to mix. **SOURCED** **CALCULATED**

Operating income was US\$25.9bn in fiscal 2022, fell to US\$24.5bn in fiscal 2023 (cost inflation and one-off charges, Reasoned), and recovered to US\$29.8bn; the margin has stayed between 4.0 and 4.5 percent. Operating leverage is now visible: in the first half of fiscal 2027 operating income rose 17.0 percent on revenue growth of 6.6 percent, and Q2 operating income was US\$9.4bn, up 28.8 percent (17.4 percent adjusted, constant currency). Net income grew faster (US\$13.7bn to US\$21.9bn) because of non-operating items, so net margin of 3.1 percent overstates operating progress. Six-month net income rose only 1.9 percent against operating income growth of 17.0 percent, evidence of that non-operating swing. Adjusted EPS of US\$0.81 in Q2 compares with GAAP EPS of US\$0.80; the difference is immaterial. D&A, SG&A and interest lines were Not Retrieved from the provider tables and are not estimated. **SOURCED** **REASONED**

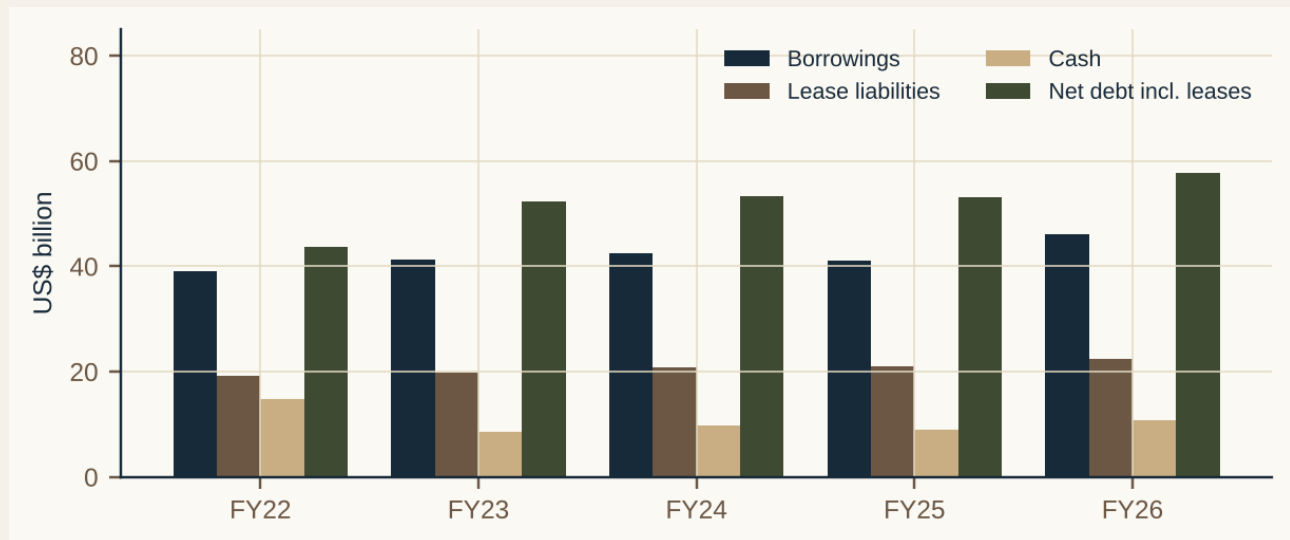
### C2. Balance Sheet

BALANCE SHEET SUMMARY, US\$ MILLION

| Item                                 | FY23    | FY24    | FY25    | FY26    | 31 Jul 26 |
|--------------------------------------|---------|---------|---------|---------|-----------|
| Cash and equivalents                 | 8,625   | 9,867   | 9,037   | 10,727  | 11,529    |
| Receivables                          | 7,933   | 8,796   | 9,975   | 11,172  | 11,075    |
| Inventory                            | 56,576  | 54,892  | 56,435  | 58,851  | 61,600    |
| Property, plant and equipment        | 119,234 | 130,338 | 139,704 | 156,956 | 164,310   |
| Goodwill                             | 28,174  | 28,113  | 28,792  | 28,735  | 28,260    |
| Total assets                         | 243,197 | 252,399 | 260,823 | 284,668 | 293,914   |
| Accounts payable                     | 53,742  | 56,812  | 58,666  | 63,061  | 64,318    |
| Short-term debt                      | 372     | 878     | 3,068   | 6,596   | 10,479    |
| Long-term debt incl. current portion | 40,952  | 41,535  | 37,998  | 39,497  | 41,269    |
| Lease liabilities                    | 19,711  | 20,864  | 21,047  | 22,333  | 23,344    |
| Total liabilities                    | 159,206 | 161,828 | 163,131 | 178,488 | 189,115   |
| Common equity                        | 76,693  | 83,861  | 91,013  | 99,617  | 98,238    |
| Minority interest                    | 7,298   | 6,710   | 6,679   | 6,563   | 6,561     |
| Net debt including leases            | 52,410  | 53,410  | 53,076  | 57,699  | 63,563    |

Source: StockAnalysis annual balance sheet (FY23 to FY26) and trailing balance sheet to 31 July 2026. Net debt is calculated as short-term debt, long-term debt including current portion and lease liabilities, less cash. Long-term debt and lease subtotals are derived by the analyst.

### Borrowings, lease liabilities, cash and net debt



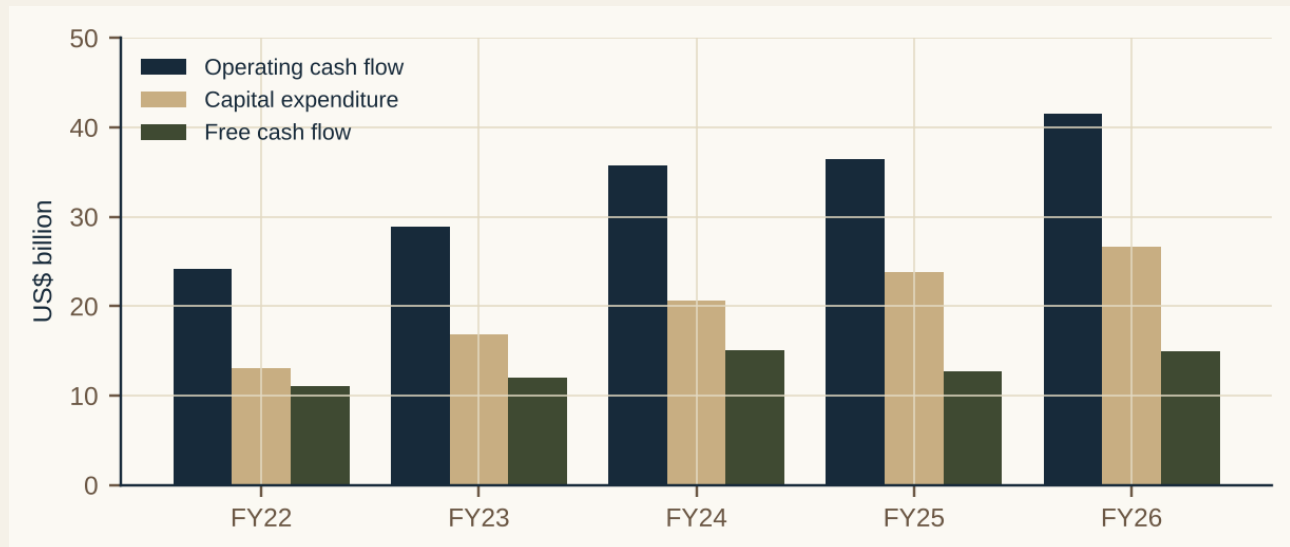
Source: StockAnalysis annual balance sheets, FY22 to FY26. Units: US\$ billion.

Net debt including leases rose from US\$43.7bn (FY22) to US\$57.2bn (July 2026), driven by short-term debt used to fund capex, which went from US\$0.4bn to US\$10.5bn since FY23. Net debt to EBITDA of about 1.4 times is comfortable for a business with US\$41.6bn of operating cash flow. Common equity of US\$98.2bn supports a debt to equity ratio (borrowings only) of 0.46 times at FY26. Current ratio is 0.77 and quick ratio 0.20 at July 2026: Walmart runs negative working capital by design, as supplier credit (accounts payable of US\$64.3bn) exceeds inventory of US\$61.6bn. Equity ratio is 37 percent including minority interests. **CALCULATED**

Red flags and checks. Goodwill is US\$28.3bn, 10 percent of assets and 29 percent of common equity; goodwill has stayed between US\$28.1bn and US\$29.0bn for five years. Inventory grew 4.3 percent in fiscal 2026 and 4.7 percent in the six months to July 2026, in line with sales: no accumulation signal. The short-term debt rise and total debt of US\$57.2bn reported by the company in the Q2 release (company definition, differs from the provider calculation above) should be tracked against refinancing costs at a 5.28 percent 10-year Treasury yield. Off-balance-sheet obligations were not reviewed beyond lease liabilities. **REASONED**

## C3. Cash Flow Statement

### Operating cash flow, capital expenditure and free cash flow



Source: StockAnalysis annual cash flow statements, FY22 to FY26. Units: US\$ billion.

### CASH FLOW SUMMARY, US\$ MILLION

| Item                     | FY22    | FY23    | FY24    | FY25    | FY26    |
|--------------------------|---------|---------|---------|---------|---------|
| Operating cash flow      | 24,181  | 28,841  | 35,726  | 36,443  | 41,565  |
| Capital expenditure      | -13,106 | -16,857 | -20,606 | -23,783 | -26,642 |
| Free cash flow           | 11,075  | 11,984  | 15,120  | 12,660  | 14,923  |
| Dividends paid           | -6,152  | -6,114  | -6,140  | -6,688  | -7,507  |
| Share repurchases        | -9,787  | -9,920  | -2,779  | -4,494  | -8,088  |
| Net debt issued (repaid) | -5,872  | 2,318   | 1,262   | -1,256  | 4,881   |
| Financing cash flow      | -22,828 | -17,039 | -13,414 | -14,822 | -13,553 |

Source: StockAnalysis. Free cash flow equals operating cash flow less capital expenditure (calculated).

Operating cash flow rose 72 percent in four years (US\$24.2bn to US\$41.6bn) and equals 1.9 times net income in fiscal 2026, so earnings are cash-backed, helped by supplier financing growth. Free cash flow, however, grew only 35 percent (US\$11.1bn to US\$14.9bn; 2.1 percent margin) because capex more than doubled, absorbing 64 percent of operating cash flow. Net income is not cash generation: free cash flow was 0.68 times net income in fiscal 2026. Dividends and buybacks totaled US\$15.6bn, 105 percent of free cash flow, financed with US\$4.9bn of net borrowing. In the first half of fiscal 2027 free cash flow was US\$5.5bn (down US\$1.4bn) on capex of US\$14.2bn. SOURCED CALCULATED

## C4. Forecasting and Projections

Revenue is modeled from the segment mix: Walmart U.S. (68 percent) growing with comparable sales of 2.6 percent plus new capacity, International (19 percent) growing 8 percent in constant currency, and Sam's Club (13 percent) with comparable sales of 4.4 percent excluding fuel and 8.8 percent total growth. Management guidance for fiscal 2027 is net sales up 4 to 5 percent in constant currency and adjusted operating income up 7 to 8.5 percent, implying operating leverage of about 1.7 times sales growth. Maintenance capex is not separated by the company; growth capex is the larger share, as capex of 4.0 percent of sales exceeds depreciation. Estimates below are by the analyst. SOURCED REASONED

### BASE CASE PROJECTION (ANALYST ESTIMATE), US\$ BILLION

| Item                      | FY27E | FY28E | FY29E | FY30E | FY31E |
|---------------------------|-------|-------|-------|-------|-------|
| Revenue growth            | 5.5%  | 5.0%  | 4.5%  | 4.5%  | 4.0%  |
| Revenue                   | 752.4 | 790.0 | 825.6 | 862.7 | 897.2 |
| Operating margin          | 4.30% | 4.45% | 4.60% | 4.75% | 4.90% |
| Operating income          | 32.4  | 35.2  | 38.0  | 41.0  | 44.0  |
| Capex, percent of revenue | 4.0%  | 3.9%  | 3.8%  | 3.7%  | 3.6%  |
| Unlevered free cash flow  | 10.3  | 12.5  | 14.8  | 17.3  | 20.0  |

Estimates and assumptions by the analyst. Unlevered free cash flow equals operating income after 24 percent tax, plus depreciation estimated at 2.1 percent of revenue, less capex; no change in net working capital assumed.

### SCENARIO ASSUMPTIONS AND OUTPUTS

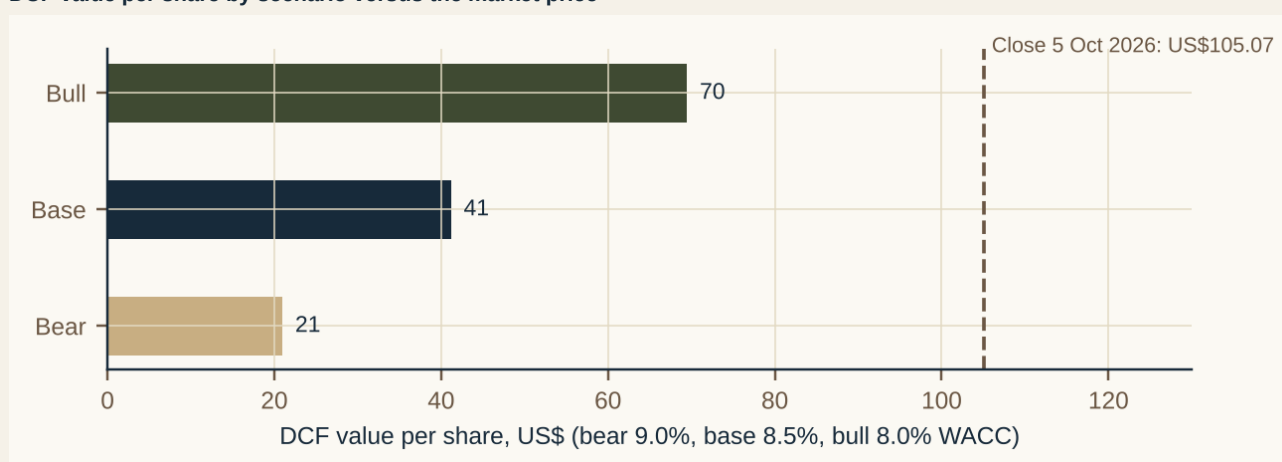
| Assumption                   | Bear         | Base         | Bull         |
|------------------------------|--------------|--------------|--------------|
| Revenue growth, years 1 to 5 | 4.0% to 2.5% | 5.5% to 4.0% | 6.0% to 5.0% |
| Operating margin, year 10    | 4.0%         | 5.2%         | 6.5%         |
| WACC                         | 9.0%         | 8.5%         | 8.0%         |
| Terminal growth              | 2.5%         | 3.0%         | 3.5%         |
| Enterprise value, US\$bn     | 236          | 397          | 621          |
| Equity value, US\$bn         | 166          | 326          | 551          |
| Value per share, US\$        | 21           | 41           | 70           |

Calculated from the model described in C5. Equity value is enterprise value less net debt including leases (US\$63.6bn) and minority interest (US\$6.6bn), over 7.93bn shares.

## C5. Discounted Cash Flow (DCF) Model

Assumptions (base case). Revenue base US\$713.2bn (fiscal 2026) growing from 5.5 percent in fiscal 2027 to 3.0 percent in year ten; operating margin rising from 4.3 percent to 5.2 percent as advertising, membership and marketplace income grow; tax rate 24 percent (company guidance 23.5 to 24.5 percent); depreciation 2.1 percent of revenue and capex falling from 4.0 to 3.1 percent of revenue (analyst estimates); no net working capital change. WACC 8.5 percent: risk-free rate 5.28 percent (10-year Treasury, 2 October 2026), equity risk premium 4.5 percent and a blended beta of 0.8 (between the 0.54 to 0.58 observed and 1.0) give a cost of equity near 8.9 percent; after-tax cost of debt about 4.2 percent; equity weight about 93 percent. Terminal value uses growth of 3.0 percent and a reinvestment rate of growth divided by a 14 percent ROIC (in line with reported ROIC), giving a terminal value of about two thirds of enterprise value. Net debt including leases US\$63.6bn and minority interest US\$6.6bn are subtracted, and 7.93bn shares outstanding are used. **CALCULATED** **REASONED**

### DCF value per share by scenario versus the market price



Source: analyst model; price from Alpha Vantage, 5 October 2026. Units: US\$ per share.

### SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), BASE CASE VALUE PER SHARE, US\$

| WACC | 2.0% | 2.5% | 3.0% | 3.5% |
|------|------|------|------|------|
| 6.5% | 63   | 68   | 73   | 81   |
| 7.0% | 55   | 58   | 62   | 67   |
| 7.5% | 48   | 51   | 54   | 57   |
| 8.0% | 43   | 45   | 47   | 49   |
| 8.5% | 38   | 40   | 41   | 43   |
| 9.0% | 34   | 35   | 37   | 38   |
| 9.5% | 31   | 32   | 33   | 34   |

### SENSITIVITY: OPERATING MARGIN SHIFT (ROWS) AGAINST REVENUE GROWTH SHIFT (COLUMNS), VALUE PER SHARE, US\$

| Margin shift, all years | Growth minus 1 pt | Base growth | Growth plus 1 pt |
|-------------------------|-------------------|-------------|------------------|
| Minus 0.5 points        | 32                | 35          | 39               |
| Base margin path        | 37                | 41          | 45               |
| Plus 0.5 points         | 43                | 47          | 52               |
| Plus 1.0 point          | 48                | 53          | 59               |
| Plus 1.5 points         | 54                | 59          | 65               |

The DCF produces a valuation range, not a point estimate: US\$21 to US\$70 per share across scenarios against a market price of US\$105.07. The model is conservative in one respect (it does not give credit for advertising margins above 5.2 percent) and sensitive to the discount rate: a base-case value equal to the market price requires a WACC near 5.5 percent. The gap between

model and price reflects a low free cash flow margin (2.1 percent) capitalized at an elevated risk-free rate, not a view on the quality of the business. CALCULATED REASONED

## C6. Leveraged Buyout (LBO) Model

Not applicable. At an enterprise value of about US\$897bn, controlled by a founding family, with a 2.1 percent free cash flow margin and a market capitalization many times larger than any financing market could absorb, a leveraged buyout of Walmart is not a feasible transaction, and no LBO model is presented. REASONED

## D. Investment Thesis

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### Bull Case

Revenue growth of 6 percent a year for five years (above the 4 to 5 percent guidance) supported by eCommerce growth above 20 percent and international expansion; operating margin expanding to 6.5 percent by year ten as advertising (up 38 percent), membership fees (up 17 percent) and marketplace income carry a larger share of profit; capex intensity falling toward 3 percent of sales as automation matures, lifting free cash flow margin; and the market assigning a lower discount rate. The DCF bull case is US\$70 per share; the current price therefore requires conditions beyond this bull case, notably a materially lower discount rate. CALCULATED REASONED

### Bear Case

Growth slows to 2.5 to 4 percent as comparable sales fade, tariffs and wage inflation hold the operating margin at 4.0 percent, pricing investment responds to Amazon and Costco, capex stays above 4 percent, and short-term debt keeps rising at a 5 to 6 percent cost of funds. The share price multiple compresses toward the 28 to 33 times earnings seen in fiscal 2022 to 2024 or lower. At a constant US\$2.84 of adjusted EPS, a 30 times multiple would imply roughly US\$85 per share, about 19 percent below the current price; the bear DCF is US\$21 per share. CALCULATED REASONED

### Base Case

Revenue growth of 5.5 percent in fiscal 2027 fading to 4 percent, operating margin edging up from 4.2 to 4.9 percent by fiscal 2031, capex easing from 4.0 to 3.6 percent of sales, free cash flow of US\$10bn to US\$20bn unlevered and steady dividend growth of about 10 percent. The base-case DCF is US\$41 per share. Reasonable capital allocation continues: dividends plus buybacks of about US\$15bn to US\$16bn a year. CALCULATED REASONED

### Catalysts

Third-quarter fiscal 2027 results (guidance: net sales up 3.0 to 3.75 percent in constant currency, operating income up 2 to 4 percent, adjusted EPS US\$0.62 to US\$0.64; release date Not Retrieved, normally mid-November); the holiday season; fiscal 2028 guidance in February 2027 and the annual dividend increase announced at that time (Reasoned from past practice); further advertising and membership disclosures; the pace of capex; and interest rate policy. SOURCED REASONED

## Things to Monitor

### MONITORING LIST

| Metric or event                     | Why it matters             | Positive                | Negative           |
|-------------------------------------|----------------------------|-------------------------|--------------------|
| Operating margin                    | Core profitability         | Above 4.5% trailing     | Below 4.0%         |
| Free cash flow                      | Return on capex            | Above US\$18bn trailing | Below US\$12bn     |
| Capex to sales                      | Capital intensity          | Below 3.8%              | Above 4.2%         |
| Comparable sales, Walmart U.S.      | Traffic and pricing        | Above 3%                | Below 1.5%         |
| Advertising and membership growth   | Margin mix                 | Above 25%               | Below 10%          |
| Net debt including leases to EBITDA | Balance sheet              | Under 1.4x              | Above 2.0x         |
| 10-year Treasury yield              | Discount rate and multiple | Falling below 4.5%      | Rising above 5.75% |

Thresholds are Reasoned analyst reference points, not company targets.

## E. Final Investment Framework

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|                                       |                                                                                                                                                                                                                                                       |
|---------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>BUSINESS QUALITY</b>               | Very good. Scale purchasing, network density and a diversified mix of groceries, general merchandise and services support a 14 percent ROIC on a 4 percent margin.                                                                                    |
| <b>FINANCIAL QUALITY</b>              | Good. Operating cash flow is 1.9 times net income and leverage is modest, but free cash flow margin is only 2.1 percent after record capex.                                                                                                           |
| <b>COMPETITIVE POSITION</b>           | Strong moat built on cost advantage and reach; weaker switching costs than Costco's membership model and less digital margin than Amazon.                                                                                                             |
| <b>MANAGEMENT</b>                     | Good. Orderly succession in February 2026, disciplined payouts, guidance raised in August; shareholder returns slightly exceeded free cash flow in fiscal 2026.                                                                                       |
| <b>INDUSTRY</b>                       | Mature and consolidating, defensive demand, structural shift toward retail media and eCommerce.                                                                                                                                                       |
| <b>VALUATION</b>                      | Demanding. 38 times earnings and 61.7 times free cash flow compare with a base-case DCF of US\$41 and a bull case of US\$70 per share.                                                                                                                |
| <b>TECHNICAL AND MARKET STRUCTURE</b> | Weak. Price below the 50-day and 200-day averages, 21 percent below the February high, momentum negative, volatility moderate and beta 0.54.                                                                                                          |
| <b>PRINCIPAL RISK</b>                 | Valuation compression, amplified by higher interest rates.                                                                                                                                                                                            |
| <b>PRINCIPAL CATALYST</b>             | Evidence that advertising and membership income lift the operating margin toward 5 percent while capex intensity falls.                                                                                                                               |
| <b>KEY VARIABLE</b>                   | Operating margin: each 0.5 point is worth about US\$3.6bn of operating income and about US\$6 per share in the DCF.                                                                                                                                   |
| <b>THESIS INVALIDATION</b>            | The investment thesis would become materially weaker if trailing operating margin falls below 4.0 percent, if free cash flow stays below US\$12bn while capex exceeds 4.2 percent of sales, or if net debt including leases exceeds 2.0 times EBITDA. |

## F. Data Table

| Category      | Metric                | Current                        | Prior year    | 3Y / 5Y trend            |
|---------------|-----------------------|--------------------------------|---------------|--------------------------|
| Market        | Market cap            | US\$833.6bn                    | US\$788.6bn   | Up from US\$388bn (FY22) |
| Market        | Enterprise value      | US\$897.2bn                    | Not Retrieved | Up                       |
| Market        | Share price           | US\$105.07                     | US\$98.16     | Up 101% in 3 years       |
| Growth        | Revenue growth        | 4.7% (FY26)                    | 5.1%          | Easing from 6.7%         |
| Profitability | Gross margin          | 24.9%                          | 24.9%         | Stable to up             |
| Profitability | Operating margin      | 4.2%                           | 4.3%          | Stable                   |
| Profitability | Net margin            | 3.1%                           | 2.9%          | Up from 2.4%             |
| Profitability | ROE                   | 22.3%                          | 21.4%         | Up from 15.5%            |
| Profitability | ROIC                  | 13.3%                          | 15.3%         | Stable 12 to 15%         |
| Cash flow     | Operating cash flow   | US\$41.6bn                     | US\$36.4bn    | Up 72% in 4 years        |
| Cash flow     | Free cash flow        | US\$14.9bn                     | US\$12.7bn    | Up 35% in 4 years        |
| Leverage      | Net debt / EBITDA     | 1.4x                           | Not Retrieved | Stable                   |
| Valuation     | P/E                   | 38.1x                          | 40.6x         | Up from 28.4x            |
| Valuation     | EV/EBITDA             | 20.4x                          | 20.1x         | Up from 12.0x            |
| Valuation     | P/FCF                 | 61.7x                          | 62.3x         | Up from 35.0x            |
| Market        | Beta                  | 0.54 (3Y), 0.58 (5Y, provider) | Not Retrieved | Low                      |
| Market        | Annualized volatility | 23.0% (3Y)                     | Not Retrieved | Stable 23%               |
| Market        | Maximum drawdown      | -24.8% (5Y)                    | n/a           | Trough June 2022         |

Current is the latest available (fiscal 2026 or trailing and market data to 5 October 2026); prior year is fiscal 2025 or 31 January 2025. Sources: StockAnalysis, Alpha Vantage; calculations by the analyst.

# G. Sources and Methodology

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All links below were opened and read during the preparation of this report.

## Primary Sources

**Walmart Inc. (SEC)**, Annual report on Form 10-K for fiscal year ended 31 January 2026. Filed 2026.  
<https://www.sec.gov/Archives/edgar/data/104169/000010416926000055/wmt-20260131.htm>. Information obtained: Segment net sales, store counts, associates, executive officers, membership fees, competitive positioning

**Walmart Inc.**, Earnings release, fiscal 2027 second quarter. 19 and 20 August 2026.  
[https://mms.businesswire.com/media/20260819458603/en/2879243/1/Earnings\\_Release\\_FY27\\_Q2.pdf?download=1](https://mms.businesswire.com/media/20260819458603/en/2879243/1/Earnings_Release_FY27_Q2.pdf?download=1). Information obtained: Quarterly and six-month results, segment growth, cash flow, debt, repurchases, dividends, fiscal 2027 and Q3 guidance

**Walmart Inc. (SEC)**, Earnings presentation, fiscal 2027 first quarter, Form 8-K. 2026.  
<https://www.sec.gov/Archives/edgar/data/0000104169/000010416926000095/earningspresentationfy27.htm>. Information obtained: First-quarter revenue growth, eCommerce and membership growth

## Secondary Sources

**StockAnalysis**, Walmart (WMT) financial statements: income statement, balance sheet, cash flow, ratios. Updated 6 October 2026.  
<https://stockanalysis.com/stocks/wmt/financials/>. Information obtained: Five-year income statement, balance sheet, cash flow, valuation history, ROE and ROIC

**StockAnalysis**, Walmart (WMT) statistics. 6 October 2026. <https://stockanalysis.com/stocks/wmt/statistics/>. Information obtained: Market cap, enterprise value, multiples, beta, moving averages, RSI

**StockAnalysis**, Walmart (WMT) company profile. 6 October 2026. <https://stockanalysis.com/stocks/wmt/company/>. Information obtained: Executive team, headquarters, employee count

**StockAnalysis**, Costco (COST) statistics. 6 October 2026. <https://stockanalysis.com/stocks/cost/statistics/>. Information obtained: Peer valuation, margins, ROIC and beta

**StockAnalysis**, Target (TGT) statistics. 6 October 2026. <https://stockanalysis.com/stocks/tgt/statistics/>. Information obtained: Peer valuation, margins, ROIC and beta

**StockAnalysis**, Amazon (AMZN) statistics. 6 October 2026. <https://stockanalysis.com/stocks/amzn/statistics/>. Information obtained: Peer valuation, margins, ROIC and beta

**StockAnalysis**, Kroger (KR) statistics. 6 October 2026. <https://stockanalysis.com/stocks/kr/statistics/>. Information obtained: Peer valuation, margins, ROIC and beta

## Market Data

**Alpha Vantage**, Daily and weekly adjusted price series for WMT and SPY; 10-year Treasury constant maturity yield. Data to 5 October 2026 (Treasury to 2 October 2026). <https://www.alphavantage.co/documentation/>. Information obtained: Prices, volume, volatility, drawdown, beta, technical indicators, risk-free rate

## Calculations

Metrics calculated by the analyst from reported figures: free cash flow (operating cash flow less capex), net debt including leases, EV/EBIT, return and growth rates, turnover ratios, volatility, beta, drawdown, RSI, MACD, ATR, moving averages from daily closes, and the DCF scenarios, sensitivities and reverse DCF. Where sources differ (provider enterprise value US\$897.2bn compared with a calculated figure; company total debt US\$57.2bn compared with a provider-based net debt of US\$63.6bn including leases), the provider tables built from audited filings are preferred for consistency of definition. Items marked Not Retrieved or N/A were not available in the sources used and have not been estimated.

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